Absa Bank Kenya PLC

Principles for Responsible Banking Report 2024

Your story matters

Table of contents

About our Principles for Responsible Banking Report 1

Principle 1: Alignment 2

Principle 2: Impact and target setting 4

Principle 3: Clients and customers 17

Principle 4: Stakeholders 20

Principle 5: Governance and culture 21

Principle 6: Transparency and accountability 24

About our Principles for Responsible Banking Report

As a signatory to the United Nations Environment Programme Finance Initiative (UNEP FI) Principles for Responsible Banking, Absa Bank Kenya continued to align its business model with the societal objectives outlined in the Paris Climate Agreement and the UN Sustainable Development Goals. The Bank's strategy, governance, performance, and prospects influence our business model on matters how value is created, safeguarded and eroded over time.

To ensure clarity and minimise repetition, this report references other published documents from Absa and should be considered alongside them.

Reporting universe

Our suite of reports are as follows:

Absa Bank Kenya PLC Sustainability and Climate Report 2024	This report discloses how Absa Bank Kenya integrates sustainability and climate-related considerations into its core strategy, governance, and operations, with a focus on managing resulting and anticipated risks and opportunities, enabling inclusive finance, and aligning with global standards such as the IFRS S1 and S2, Global Reporting Initiatives (GRI), and the Principles for Responsible Banking (PRB).	**Link to the Sustainability and Climate Report**
Integrated Report and Annual Financial Statement 2024	This report outlines the Bank's strategic journey, performance, and value creation across financial and non-financial dimensions. In addition, it includes the audited financial statements for the Financial Year 2024.	**Link to the Integrated Report**

Scope

This report outlines the Bank's financial and non-financial strategies, detailing how they align with societal objectives in their implementation. It encompasses the timeframe from 1 January 2024 to 31 December 2024 and also highlights any significant events that took place after this period.

Our commitment

Absa Bank Kenya is committed to fostering sustainable finance throughout Africa— our home —guided by our mission to make a positive impact in all our activities. In 2024, we achieved significant strides in our sustainability initiatives, placing a strong emphasis on inclusive finance for youth, women, small and medium-sized enterprises (SMEs), and individuals with disabilities.

Our climate finance efforts also gained momentum, focusing on renewable energy, green buildings, and climate-smart agriculture. Additionally, we launched the Absa Kenya Foundation, which will serve as the cornerstone of our long-term social investment strategy.

We maintained robust governance standards, attaining an impressive 83% leadership rating in the CMA Corporate Governance Assessment. Looking ahead, we remain dedicated to driving meaningful environmental and social progress across the African continent, laying the foundation for a sustainable future. Our goals include continuing to decarbonise our operations and achieving our net zero ambitions by 2050, in line with the Paris Climate Agreement and the United Nations Sustainable Development Goals. In addition, we aim to fully comply with the IFRS S1 and IFRS S2 disclosure standards by 2027.

Principle 1: Alignment

We will align our business strategy to be consistent with and contribute to individuals' needs and society's goals, as expressed in the United Nations SDGs, the Paris Climate Agreement and relevant national and regional frameworks.

1.1 Business model

Describe (high-level) your Bank's business model, including the main customer segments served, types of products and services provided, the main sectors and types of activities across the main geographies in which your Bank operates or provides products and services. Please also quantify the information by disclosing, e.g. the distribution of your Bank's portfolio (%) in terms of geographies, segments (i.e. by balance sheet and/or off-balance sheet) or by disclosing the number of customers and clients served.

Response	Links and references
Customers segment At Absa Bank Kenya, our main customer segments are global, regional and mid-to-large corporates, including global and local development organisations, financial institutions, public sector institutions and Retail Customers.	**Integrated Report 2024** Page 16-17
Product, services and channels Absa Bank Kenya provides a comprehensive range of products, including bank accounts, credit offerings, investment services, asset and fund management, support for Women in Business, the Wezesha Biashara initiative, and Bancassurance. Our digital services are extensive, featuring the Absa App, credit cards, Timiza, Internet Banking, Absa Pay, and Hello Money accessible via *224#. These products are delivered through a combination of physical branches and agency banking, ensuring that our customers have convenient access to our services.	
Main activities • We provide funding for purchases and growth by extending both secured and unsecured credit, tailored to our customers' affordability and risk profiles. • To help manage business and financial risks, we offer solutions such as fixed-rate loans, pricing and research services, and hedging strategies. • We also provide protection against risks through savings and investment policies, which offer compensation for specified losses in exchange for premium payments. • Additionally, we support our clients with financial and business advisory services, particularly in relation to large corporate transactions and investment research.	**Integrated Report 2024** Page 16
Bank's portfolio Absa Kenya operates exclusively within Kenya but is part of the broader Absa Group, which has a presence in several countries, including Botswana, Ghana, South Africa, Tanzania, Mozambique, Seychelles, Mauritius, Zambia, and Uganda. In Kenya, the Bank boasts 5,300 Point of Sale (PoS) devices, 203 ATMs with an impressive uptime of 99%, 60 cash deposit machines, and 86 branches. Notably, 99% of all transactions occur outside of the branch, and 63% of back-office processes have been fully digitised. Despite facing an overall asset decline of 3%, the Bank experienced a 1% growth in customer deposits.	**Integrated Report 2024** Page 58

1.2 Strategy alignment

Does your corporate strategy identify and reflect sustainability as strategic priority/ies for your Bank? ☒ **Yes** ☐ No

Please describe how your Bank has aligned and/or is planning to align its strategy to be consistent with the Sustainable Development Goals (SDGs), the Paris Climate Agreement, and relevant national and regional frameworks.

Does your Bank also reference any of the following frameworks or sustainability regulatory reporting requirements in its strategic priorities or policies to implement these?

☒ **UN Guiding Principles on Business and Human Rights** ☒ **International Labour Organization fundamental conventions** ☒ **UN Global Compact** ☐ UN Declaration on the Rights of Indigenous Peoples

☒ **Any applicable regulatory reporting requirements on environmental risk assessments, e.g. on climate risk - please specify which ones: TCFD and TNFD.**

☐ Any applicable regulatory reporting requirements on social risk assessments, e.g. on modern slavery - please specify which ones: N/A ☐ None of the above

Response	Links and references
In 2024, we continued to implement the 13 sustainability commitments established in 2020, inspired by the United Nations Sustainable Development Goals (SDGs). These 13 commitments serve as our guiding ambitions, enabling us to enhance our impact and address emerging issues and trends in line with our "Active Force for Good Strategy." To ensure transparency, we have adhered to key national frameworks, including the Nairobi Securities Exchange (NSE) ESG Disclosures Guidance Manual and the Central Bank of Kenya's Guidance on Climate-related Risk Management. In our sustainability and climate reporting, we have adopted the Task Force on Climate-related Financial Disclosures (TCFD) framework, which aligns with IFRS S2.	**Sustainability and Climate Report 2024** Page 14
Importantly, this marks the first sustainability and climate report to partially incorporate the IFRS S1 and S2 standards, with plans for a gradual transition towards full alignment by 2027.	**Sustainability and Climate Report 2024** Page 5

Principle 2: Impact and target setting

We will continuously increase our positive impacts while reducing the negative impacts on, and managing the risks to, people and the environment resulting from our activities, products and services. To this end, we will set and publish targets where we can have the most significant impacts.

2.1 Impact analysis (Key step 1)

Show that your Bank has performed an impact analysis of its portfolio/s to identify its most significant impact areas and determine priority areas for target-setting. The impact analysis shall be updated regularly[1] and fulfil the following requirements/elements (a–d)[2]:

(a) **Scope:** What is the scope of your Bank's impact analysis? Please describe which parts of the Bank's core business areas, products/services across the main geographies that the Bank operates in (as described under 1.1) have been considered in the impact analysis. Please also describe which areas have not yet been included, and why.

Response	Links and references
At Absa Kenya, we have established our value through creating a business model through the following: • Financial Capital • Intellectual Capital • Human Capital • Manufactured Capital • Social and Relationship Capital • Natural Capital Our organisation focuses on the most significant environmental, social, economic, and governance issues that have an impact on us and our stakeholders. The following material topics were identified: 1. Environmental and Social Risks 2. Diversity and Inclusion 3. Employment and Wellbeing 4. Customer Wellbeing, Experience and Protection 5. Supplier Management 6. Community Empowerment 7. Compliance 8. Financial Performance 9. Product Stewardship 10 Cyber Security and Data protection Areas that have not yet been included in the impact analysis are typically those that are not material to the Bank's operations or are not directly relevant to its core business. The Bank will continue to evaluate these areas and may include them in its impact analysis in the future if they become material or relevant.	**Integrated Report 2024** Page 47

[1] That means that where the initial impact analysis has been carried out in a previous period, the information should be updated accordingly, the scope expanded as well as the quality of the impact analysis improved over time.
[2] Further guidance can be found in the ***Interactive Guidance on impact analysis and target setting .***

(b) **Portfolio composition:** Has your Bank considered the composition of its portfolio (in %) in the analysis? Please provide proportional composition of your portfolio globally and per geographical scope i. by sectors and industries[3] for business, corporate and investment banking portfolios (i.e. sector exposure or industry breakdown in %), and/or ii. by products and services and by types of customers for consumer and retail banking portfolios. If your Bank has taken another approach to determine the Bank's scale of exposure, please elaborate, to show how you have considered where the Bank's core business/major activities lie in terms of industries or sectors.

Response	Links and references
Absa Bank Kenya has conducted a thorough analysis of its portfolio, categorising assets into high, medium, and low-risk categories. We closely monitor sectors that are sensitive to climate change and those with high carbon emissions. In line with the United Nations Environment Programme (UNEP) guidelines, our portfolio analysis revealed that approximately 30.4% of our total gross loans and advances are allocated to these climate-sensitive sectors. Notably, the manufacturing sector constitutes the largest portion, representing 15.3%, indicating our diverse exposure to these areas.	**Sustainability and Climate Report 2024** Page 47
As part of our sustainability objectives, we aim to ensure that at least 10% of our portfolio comprises sustainable assets by 2025, with a target to increase this to 30% by 2030. To date, we have advanced Shs 47 billion in sustainable finance, which includes Shs 43 billion in inclusive finance and Shs 4 billion in climate finance.	**Sustainability and Climate Report 2024** Page 8
A significant milestone for the Bank was the provision of a USD 650,000 green loan for Kenya's first green-certified repurposed warehouse, developed by Modular Real Estate EPZ Limited. Looking ahead, we are committed to seizing opportunities for green financing that will support initiatives aimed at accelerating climate transition and fostering inclusive growth.	**Sustainability and Climate Report 2024** Page 48

(c) **Context:** What are the main challenges and priorities related to sustainable development in the main countries/regions in which your Bank and/or your clients operate?[4] Please describe how these have been considered, including what stakeholders you have engaged to help inform this element of the impact analysis. *This step aims to put your Bank's portfolio impacts into the context of society's needs.*

Response	Links and references
Main challenges and priorities related to sustainable development 1. Climate change related issues Kenya has experienced effects of climate change both physical and transition in nature. For physical climate risks, the Bank has updated its business continuity plan to enhance resilience in its operations and major outsourced arrangements in case of adverse weather. In addition, the Bank is assessing all its physical collaterals against adverse weather to mitigate stranded assets in its portfolio. A total of seven sectors have been identified as climate sensitive. This includes • Agriculture • Real estate • Manufacturing • Mining and quarrying • Transport and communications • Electricity, gas and water supply • Construction The risks have been classified into physical and transition risks and a net zero strategy by 2050 at portfolio level has been crafted. The board and management are deliberating on the decarbonisation targets which will be communicated in future reports.	**Sustainability and Climate Report 2024** Page 47

[3] 'Key sectors' relative to different impact areas, i.e. those sectors whose positive and negative impacts are particularly strong, are particularly relevant here.
[4] Global priorities might alternatively be considered for banks with highly diversified and international portfolios.

Response	Links and references
Main challenges and priorities related to sustainable development 2. Evolving complexities in management of social trends in society The socio-economic landscape of Kenya has been severely tested. There are looming challenges of accessing finance by the underserved in society. Achieving diversity, equality and inclusion has been quite challenging for banks to achieve. The Bank has set up a Foundation to involve partners to solve societal issues relating to un-creditworthiness as well as climate financing through concessional loans. 3. Data Gaps Unreliable data can undermine trust and hinder effective communication with different stakeholders. Reputational risks can also be affected when data gaps make it difficult to demonstrate sustainability performance. **Stakeholder engagement** We actively engage with a diverse range of stakeholders, including local communities and NGOs, government bodies and regulators, industry experts and academia, as well as clients and customers. These engagements facilitate a deep understanding of the grassroot challenges and priorities, especially in areas impacted by climate change and financial exclusion. Collaborations with government agencies ensure our initiatives are in harmony with national development goals, while partnerships with academic institutions bring innovative solutions for sustainable development to the forefront. Through ongoing dialogue with our clients, ranging from individual consumers to large corporates, we tailor our offerings to support their unique sustainability journeys, providing them with green financing options and advisory services to manage environmental and social risks effectively.	**Sustainability and Climate Report 2024** Page 47

Based on these first 3 elements of an impact analysis, what positive and negative impact areas has your Bank identified? Which (at least two) significant impact areas did you prioritise to pursue your target setting strategy (see 2.2)[5] ? Please disclose.

Response	Links and references
Impact areas identified At Absa, we acknowledge that sustainable finance is a critical aspect of achieving sustainable development. We are embracing sustainable finance in the lens of diversity and inclusion, financial inclusion and climate action. As a result, we have realised that financing green projects will significantly reduce and mitigate the impacts of climate change. Integrating climate risk into our operations is crucial. We have adopted programmes that not only enhance local economic development but also to enhance resilience of women and youth. Portfolio management and monitoring: As part of incorporating climate change risk into our business, we monitor and disclose our exposure to sectors with high emissions and those identified as climate sensitive.	**Sustainability and Climate Report 2024** Page 7

[5] To prioritise the areas of most significant impact, a qualitative overlay to the quantitative analysis as described in a), b) and c) will be important, e.g. through stakeholder engagement and further geographic contextualisation.

(d) For these (min. two prioritised impact areas): **Performance measurement:** Has your Bank identified which sectors and industries as well as types of customers financed or invested in are causing the strongest actual positive or negative impacts? Please describe how you assessed the performance of these, using appropriate indicators related to significant impact areas that apply to your Bank's context.

In determining priority areas for target-setting among its areas of most significant impact, you should consider the Bank's current performance levels, i.e. qualitative and/or quantitative indicators and/or proxies of the social, economic and environmental impacts resulting from the Bank's activities and provision of products and services. If you have identified climate and/or financial health inclusion as your most significant impact areas, please also refer to the applicable indicators in the Annex.

If your Bank has taken another approach to assess the intensity of impact resulting from the Bank's activities and provision of products and services, please describe this.

The outcome of this step will then also provide the baseline (incl. indicators) you can use for setting targets in two areas of most significant impact.

Response

To effectively measure performance in prioritised impact areas, we have identified key sectors and client types that have significant positive or negative effects. This assessment involved evaluating performance through indicators that are relevant to our significant impact areas. For a comprehensive understanding of how Absa has assessed these performances and impact areas, as well as the applicable indicators, please refer to the Sustainability and the Climate Report 2024. This document provides detailed insights into the Bank's methodology for measuring the intensity of impact from its activities and services, with established baseline for setting targets in areas of significant influence.

As we incorporate climate change risk into our business practices, we actively monitor and disclose our exposure to both high-emission sectors and those identified as climate-sensitive.

Portfolio analysis of climate sensitive sectors

Below we have highlighted the sectors the Bank has recognised as having increased climate-related risks. Each sector exhibits various vulnerabilities. As climate change risk management evolves, the monitoring and reporting of exposures to sectors with elevated climate risk will become more sophisticated, further aligning with IFRS S2 (climate-related disclosures) recommendations. We also detail the actual gross loans and advances as a percentage of the portfolio as of 31 December 2024.

High emission sectors

At Absa Bank Kenya PLC, we annually conduct our exposure to high-emission sectors. In 2024, the Bank maintained these efforts and stipulated that 20.4% of our loan portfolio is attributed to these sectors, with manufacturing being the largest contributor at 15.3%.

High Emission Sectors	Percentage 2023	Loan Value 2024	Percentage 2024
Manufacturing	17.2%	**52.9**	**15.3%**
Transport, Storage and communication	3.6%	**13.7**	**4.0%**
Electricity, Gas and Water Supply *	2.5%	**2.8**	**0.8%**
Mining and quarrying	0.2%	**0.9**	**0.3%**

** The above data excludes renewable energy*

Links and references

Sustainability and Climate Report 2024

Climate sensitive sectors

Overall, sectors identified by UNEP as climate-sensitive constitute approximately 30.4% of the total gross loans and advances. However, excluding the real estate portfolio, which mainly comprises retail home loans, climate-sensitive sectors account for approximately 25% of the total loans. Within these sectors, the agriculture and manufacturing portfolios are the largest components, representing 4.3% and 15.3%, respectively, highlighting our varied exposure to climate-sensitive sectors.

Climate sensitive sectors	Percentage 2023	Loan value 2024 (Shs billions)	Percentage 2024
Agriculture hunting and forestry	4.1%	**14.9**	**4.3%**
Construction	0.3%	**0.9**	**0.3%**
Electricity, Gas and Water Supply *	2.5%	**2.8**	**0.8%**
Manufacturing	17.2%	**52.9**	**15.3%**
Mining and quarrying	0.2%	**0.9**	**0.3%**
Real estate, renting and business activities	3.8%	**18.6**	**5.4%**
Transport, storage and communication	3.6%	**13.7**	**4.0%**

** The above data excludes renewable energy*

A. Climate action:

- Net zero carbon targets:
  - Achieve net zero carbon at the portfolio level by 2050.
  - Attain net zero carbon for operations by 2040.
  - Allocate Shs 50 billion to support climate finance by 2025.

Performance measurement:

- Emissions tracking:
  - Achieve net zero status for all Scope 1, 2, and 3 emissions, including financed emissions at both portfolio and counterparty levels.
  - Implement GHG carbon tracking for all emission scopes.
  - Plant 10 million trees and map them to offset emissions by 2032.

B. Financial inclusion and diversity goals

- Supply chain diversification:
  - Diversify the supply chain to include 30% women, youth, and persons with disabilities by end of 2025.
  - Allocate Shs 70 billion to support financial inclusion initiatives by the end of 2025.

Performance measurement:

- Financial tracking:
  - Monitor the value of loans advanced to support Micro, Small, and Medium Enterprises (MSMEs).
  - Track advancements in the TIMIZA loan programme.
  - Measure support provided to Women-owned Small and Medium Enterprises (WSMEs) through financial facilities and literacy programmes.
  - Track the number of women, youth, and persons with disabilities in the supply chain

Self-assessment summary:

Which of the following components of impact analysis has your Bank completed, in order to identify the areas in which your Bank has its most significant (potential) positive and negative impacts?[6]

Scope:	☒ **Yes**	☐ In progress	☐ No
Portfolio composition:	☒ **Yes**	☐ In progress	☐ No
Context:	☒ **Yes**	☐ In progress	☐ No
Performance measurement:	☒ **Yes**	☐ In progress	☐ No

Which most significant impact areas have you identified for your Bank, as a result of the impact analysis?

Climate change mitigation, climate change adaptation, resource efficiency and circular economy, biodiversity, financial health and inclusion, human rights, gender equality, decent employment, water, pollution, other: please specify

How recent is the data used for and disclosed in the impact analysis?

☒ **Up to 6 months prior to publication**
☐ Up to 12 months prior to publication
☐ Up to 18 months prior to publication
☐ Longer than 18 months prior to publication

Open text field to describe potential challenges, aspects not covered by the above etc.: (optional)

[6] You can respond "Yes" to a question if you have completed one of the described steps, e.g. the initial impact analysis has been carried out, a pilot has been conducted.

2.2 Target setting (Key step 2)

Show that your Bank has set and published a minimum of two targets which address at least two different areas of the most significant impact that you identified in your impact analysis.

The targets[7] have to be Specific, Measurable (qualitative or quantitative), Achievable, Relevant and Time-bound (SMART). Please disclose the following elements of target setting (a-d), for each target separately:

(a) **Alignment:** which international, regional or national policy frameworks to align your Bank's portfolio with[8] have you identified as relevant? Show that the selected indicators and targets are linked to and drive alignment with and greater contribution to appropriate Sustainable Development Goals, the goals of the Paris Agreement, and other relevant international, national or regional frameworks.

You can build upon the context items under 2.1.

Response	Links and references
We have adopted several important frameworks to enhance our sustainability practices: 1. The Global Reporting Initiative (GRI). 2. IFRS S1 and IFRS S2 standards. 3. The Nairobi Securities Exchange (NSE) ESG Disclosures Guidance Manual. 4. The Central Bank of Kenya's Guidance on Climate-Related Risk Management, which incorporates the TCFD framework. CBK also released the Climate Risk Disclosure Framework and the Kenya Green Taxonomy Framework in April 2025 which the Bank plans to adopt. 5. Carbon emissions are calculated based on the revised edition of the Greenhouse Gas Protocol. 6. We also utilise the most recent grid emission factors published by the International Energy Agency. These frameworks provide a solid foundation for our reporting and ensure that our sustainability initiatives are both effective and transparent.	**Sustainability and Climate Report 2024** Page 4-5

[7] You can respond "Yes" to a question if you have completed one of the described steps, e.g. the initial impact analysis has been carried out, a pilot has been conducted. Operational targets (relating to for example water consumption in office buildings, gender equality on the Bank's management board or business-trip related greenhouse gas emissions) are not in scope of the PRB.

[8] Your Bank should consider the main challenges and priorities in terms of sustainable development in your main country/ies of operation for the purpose of setting targets. These can be found in National Development Plans and strategies, international goals such as the SDGs or the Paris Climate Agreement, and regional frameworks. Aligning means there should be a clear link between the Bank's targets and these frameworks and priorities, therefore showing how the target supports and drives contributions to the national and global goals.

(b) **Baseline:** Have you determined a baseline for selected indicators and assessed the current level of alignment? Please disclose the indicators used as well as the year of the baseline.

You can build upon the performance measurement undertaken in 2.1 to determine the baseline for your target.

A package of indicators has been developed for climate change mitigation and financial health and inclusion to guide and support banks in their target setting and implementation journey. The overview of indicators can be found in the Annex of this template.

If your Bank has prioritised climate mitigation and/or financial health and inclusion as (one of) your most significant impact areas, it is strongly recommended to report on the indicators in the Annex, using an overview table like below including the impact area, all relevant indicators and the corresponding indicator codes: **Check responses for the below table in the Annex.**

Impact area	Indicator code	Response
Climate change		

Impact area	Indicator code	Response
Financial health and inclusion		

Indicator code	Response	
A.1.1 **Climate strategy**: Does your Bank have a climate strategy in place?	Yes. Absa Bank Kenya has a defined climate strategy, underpinned by strong governance. The Board provides strategic oversight, integrates climate risks into the risk management framework, and ensures alignment with the Central Bank of Kenya's climate risk guidelines. This includes setting targets, monitoring progress, and reporting outcomes.	**Sustainability and Climate Report 2024** Page 7, 22-24
A.1.2 **Paris alignment target:** Has your Bank set a long-term portfolio-wide Paris-alignment target? To become net zero by when? – Emissions baseline/base year: What is the emissions baseline/base year for your target? **Climate scenario used:** What climate scenario(s) aligned with the Paris climate goals has your Bank used?	Yes. The Bank has committed to achieving net zero emissions by 2040 for Scope 1 and 2, and by 2050 for Scope 3 (financed emissions). Baseline year: 2019 Climate scenarios used: Net zero 2050, Delayed Transition, and Current Policies, aligned with the Network for Greening the Financial System (NGFS).	**Sustainability and Climate Report 2024** Page 13,35,42

Indicator code	Response	
A.1.3 **Policy and process for client relationships:** Has your Bank put in place rules and processes for client relationships (both new clients and existing clients), to work together towards the goal of transitioning the clients' activities and business model?	Yes. Absa has embedded climate risk assessments into its Environmental and Social Management System (ESMS), which screens all transactions above USD 5 million. The Bank works with clients—especially in high-emission sectors—to support their transition through tailored financing and engagement.	**Sustainability and Climate Report 2024** Page 8, 41-47
A.1.4 **Business opportunities and financial products:** Has your Bank developed financial products tailored to support clients' and customers' reduction in GHG emissions (such as energy efficient mortgages, green loans, green bonds, green securitisations etc.)?	Yes. The Bank has developed a suite of green financial products, including loans for renewable energy, energy efficiency, green buildings, and climate-smart agriculture. In 2024, Shs 4 billion was disbursed for climate finance.	**Sustainability and Climate Report 2024** Page 10, 35, 44-48
A.2.1 **Client engagement process**: Is your Bank in an engagement process with clients regarding their strategy towards a low(er)-carbon business model (for business clients), or towards low(er)-carbon practices (for retail clients)?	Yes. Absa engages clients—particularly in high-emission sectors—on transitioning to low-carbon models. In 2024, the Bank conducted awareness campaigns and supported clients with decarbonisation strategies.	**Sustainability and Climate Report 2024** Page 47
A.2.2 **Absolute financed emissions:** What are your absolute emissions (financed emissions = scope 3, category 15) in your lending and/or investment portfolio?	In 2024, Absa reported Scope 3 financed emissions of 1,215 tC_2e. These are calculated using the Greenhouse Gas Protocol and reflect emissions from the Bank's lending and investment activities.	**Sustainability and Climate Report 2024** Page 46
A.2.3 **Sector-specific emission intensity (per clients' physical outputs or per financial performance):** What is the emission intensity within the relevant sector?	The Bank identified manufacturing (15.3% of loan portfolio) and transport (4.0%) as the highest-emitting sectors. Sectoral studies were conducted to assess emissions intensity and guide decarbonisation.	**Sustainability and Climate Report 2024** Page 47
A.2.4 **Proportion of financed emissions covered by a decarbonisation target:** What proportion of your Bank's financed emissions is covered by a decarbonisation target, i.e. stems from clients with a transition plan in place?	Approximately 20.4% of Absa's portfolio is directed towards high-emission sectors. The Bank is actively working with clients in these sectors to support transition plans and reduce emissions intensity.	**Sustainability and Climate Report 2024** Page 47

Indicator code	Response	
A.3.1 **Financial volume of green assets/low-carbon technologies:** How much does your Bank lend to/invest in green assets/loans and low carbon activities and technologies?	In 2024, Absa disbursed Shs 4 billion in climate finance. This included a USD 650,000 green loan for Kenya's first green-certified warehouse. The Bank has committed 10% of its portfolio to green assets by the end of 2025 .	**Sustainability and Climate Report 2024** Page 10, 35-48
A.4.1 **Reduction of GHG emissions:** How much have the GHG emissions financed been reduced?	Absa achieved a 38% reduction in Scope 2 emissions compared to the 2019 baseline. Total GHG emissions in 2024 were: Scope 1: 1,155 tCO_2e Scope 2: 841 tCO_2e Scope 3: 1,215 tCO_2e	**Sustainability and Climate Report 2024** Page 46

(c) **SMART targets** (incl. key performance indicators (KPIs) [9]): Please disclose the targets for your first and your second area of most significant impact, if already in place (as well as further impact areas, if in place). Which KPIs are you using to monitor progress towards reaching the target? Please disclose.

Response	Links and references
Absa Bank Kenya's legacy commitments (e.g., portfolio greening, net zero timelines, tree-growing, inclusion finance) remain in place but are being reassessed in 2025 to align with the Kenya Green Finance Taxonomy (KGFT) and the CBK Climate Risk Disclosure Framework. Until that reassessment is complete, we are using interim KPIs to monitor performance and inform credible PRB-aligned target-setting. The Absa Kenya Foundation (launched 2024) will support governance, programme execution and transparent reporting of social and environmental commitments. **A. Sustainable finance** **Current commitment (under reassessment; not a PRB target)** Portfolio greening: Green 10% of loan portfolio by 2025 and 30% by 2035 (legacy climate finance strategy approved by the Board in 2024). As at the end of 2024, we had achieved 10% greening. Net-zero alignment: The Bank aims to achieve net zero on Operational (Scope 1 and 2) emissions by 2040; and financed emissions net zero by 2050. **2024 progress:** • Shs 47bn disbursed in sustainable finance (of which Shs 43bn was directed to financial inclusion; Shs 4bn to climate finance) • Green building financing Shs 1.3bn; climate-smart agriculture Shs 0.1bn • 10% of overall portfolio as at 31 December 2024 was classified as "green". **KPIs used to monitor progress** • **Sustainable finance disbursements (Shs)** by theme (Renewable Energy/Energy Efficiency/green buildings) and as percentage of gross loans • **Inclusive finance** disbursements and reach issued to MSMEs, low-income households, women and youth led businesses. (2024: Timiza Shs 25.1bn; MSMEs Shs 9.6bn; low income households Shs 1.4bn; women in business Shs 1.1bn; youth Shs 5.8bn) • **ESMS coverage:** Ensure that 100% of in scope transactions are screened and that all transactions exceeding USD 5m are assessed for environmental and social aspects via ESRA tool. **B. Portfolio management and monitoring** **Current commitment (under reassessment; not a PRB target):** • Embed climate and ESG risk across our credit processes, implement CBK climate related disclosures guidance, and adopt IFRS S1/S2 by 2027 (Kenya roadmap as issued by ICPAK in November 2024) • Achieve net zero in operations by 2040 and reduce scope 1 and 2 carbon emissions by 51% by 2030. **2024 progress** • ESMS enhanced to include climate risk; automated ESMS and GHG accounting; smart meters deployed for real time energy tracking • Financed-emissions (Scope 3): proof-of-concept completed with 5 customers (transport and manufacturing); wider rollout from 2025 • Physical-risk mapping: geo-referenced collateral vulnerability tool developed; data ingestion ongoing • Operational emissions 2024: Scope 1: 1,155 tCO_2e; Scope 2 : 841 tCO_2e; Scope 3: 1,215 tCO_2e (total ~3,211 tCO_2e). **KPIs used to monitor progress** • The percentage of corporate exposure monitored by the ESMS-ESRA completed • Percentage of collateral geo-tagged and analysed for physical risk • Financed-emissions coverage by sector • Scope 1 and 2 emissions and the percentage reduction versus the 2019 baseline.	**Sustainability and Climate Report 2024**

[9] Key Performance Indicators are chosen indicators by the Bank for the purpose of monitoring progress towards targets.

(d) **Action plan:** which actions including milestones have you defined to meet the set targets? Please describe.

Please also show that your Bank has analysed and acknowledged significant (potential) indirect impacts of the set targets within the impact area or on other impact areas and that it has set out relevant actions to avoid, mitigate, or compensate potential negative impacts.

Response	Links and references
a) Finalise KGFT aligned classification and baselines and enhance governance through the Sustainability Steering Committee and Absa Kenya Foundation for social and environmental programmes. b) Expand climate-finance pipelines (Renewable Energy/Energy Efficiency/green buildings) and inclusive lending. c) Mainstream product-level eligibility criteria and ring-fenced tracking in core systems for our credit products. d) Complete financed-emissions baselining with a priority on manufacturing, transport and distribution; set sector-pathways and interim intensity KPIs; integrate into credit policies and client engagement. e) Scale physical-risk management: 100% geo-tagging of collaterals; embed climate risk in valuations and pricing. f) Reduce operational emissions: continue energy efficiency retrofits, expand smart metering, pursue EDGE certifications, and deliver the 51% reduction in Scope 1 and 2 by 2030. g) Governance and disclosure: Continue Board trainings and phase-in IFRS S1/S2 with a view to assurance in future cycles.	**Sustainability and Climate Report 2024**

Self-assessment summary

Which of the following components of target setting in line with the PRB requirements has your Bank completed or is currently in a process of assessing for your...

	... first area of most significant impact: **Sustainable finance**	... second area of most significant impact: **Portfolio management and monitoring**	(If you are setting targets in more impact areas) ...your third (and subsequent) area(s) of impact: ... (please name it)
Alignment	☒ **Yes - Climate mitigation** ☐ In progress ☐ No	☒ **Yes - Financial inclusion** ☐ In progress ☐ No	☐ Yes ☐ In progress ☐ No
Baseline	☒ **Yes** ☐ In progress ☐ No	☒ **Yes** ☐ In progress ☐ No	☐ Yes ☐ In progress ☐ No
SMART targets	☐ Yes ☒ **In progress** ☐ No	☐ Yes ☒ **In progress** ☐ No	☐ Yes ☐ In progress ☐ No
Action plan	☐ Yes ☒ **In progress** ☐ No	☐ Yes ☒ **In progress** ☐ No	☐ Yes ☐ In progress ☐ No

2.3 Target implementation and monitoring (Key step 2)

For each target separately:

Show that your Bank has implemented the actions it had previously defined to meet the set target.

Report on your Bank's progress since the last report towards achieving each of the set targets and the impact your progress resulted in, using the indicators and KPIs to monitor progress you have defined under 2.2.

Or, in case of changes to implementation plans (relevant for 2nd and subsequent reports only): describe the potential changes (changes to priority impact areas, changes to indicators, acceleration/review of targets, introduction of new milestones or revisions of action plans) and explain why those changes have become necessary.

Response	Links and references
Progress since last report: In 2024, Absa Bank Kenya disbursed Shs 47 billion in sustainable finance. This included Shs 4 billion for climate finance, Shs 1.3 billion for green buildings, and Shs 0.1 billion for climate-smart agriculture. We advanced financial inclusion through Timiza (Shs 25.1 billion), MSMEs (Shs 9.6 billion), women-led businesses (Shs 1.1 billion), youth (Shs 5.8 billion), and low-income households (Shs 1.4 billion). The Bank achieved approximately 10% green share of its portfolio, based on legacy measures pending re-mapping to the Kenya Green Finance Taxonomy. The Board approved a climate-finance strategy, and the Environmental and Social Management System (ESMS) was enhanced to integrate climate risk. The CBK climate plan was submitted and remains on track. We automated GHG accounting, deployed smart meters for real-time energy monitoring, and reduced Scope 2 emissions by 38% compared to the 2019 baseline. Five premises achieved EDGE certification. A geo-referenced physical-risk tool for collateral was launched, and a financed-emissions proof-of-concept was completed with five clients, with sector rollout planned for 2025. The Absa Kenya Foundation was launched to consolidate and scale social and environmental programmes, ensuring structured governance and accountability.	**Sustainability and Climate Report 2024**

[10] A client engagement process is a process of supporting clients towards transitioning their business models in line with sustainability goals by strategically accompanying them through a variety of customer relationship channels.
[11] Sustainable economic activities promote the transition to a low-carbon, more resource-efficient and sustainable economy.

Principle 3: Clients and customers

We will work responsibly with our clients and our customers to encourage sustainable practices and enable economic activities that create shared prosperity for current and future generations.

3.1 Client engagement

Does your Bank have a policy or engagement process with clients and customers[10] in place to encourage sustainable practices?

☒ **Yes** ☐ In progress ☐ No

Does your Bank have a policy for sectors in which you have identified the highest (potential) negative impacts?

☒ **Yes** ☐ In progress ☐ No

Describe how your Bank has worked with and/or is planning to work with its clients and customers to encourage sustainable practices and enable sustainable economic activities[11]. It should include information on relevant policies, actions planned/implemented to support clients' transition, selected indicators on client engagement and, where possible, the impacts achieved.

This should be based on and in line with the impact analysis, target-setting and action plans put in place by the Bank (see P2).

Response	Links and references
Policies and strategic frameworks **Environmental and social management system (ESMS)** The Bank has embedded climate risk assessments into its ESMS, which screens all transactions above USD 5 million. This ensures that environmental and social risks are considered in lending decisions. **Climate finance strategy** Approved in 2024, this strategy supports the development of tailored financial products for sectors such as renewable energy, energy efficiency, green buildings, and climate-smart agriculture. **Sustainability risk policy** Updated to include climate risk and greenwashing controls, this policy guides how the Bank manages sustainability risks across its portfolio.	**Sustainability and Climate Report 2024** Page 41-42

[10] A client engagement process is a process of supporting clients towards transitioning their business models in line with sustainability goals by strategically accompanying them through a variety of customer relationship channels.

[11] Sustainable economic activities promote the transition to a low-carbon, more resource-efficient and sustainable economy.

Response	Links and references
Actions implemented to support client transition **Client engagement and awareness** In 2024, Absa conducted awareness campaigns targeting clients in high-emission sectors like manufacturing and transport. These engagements aimed to guide clients on transitioning to low-carbon operations. **Sectoral studies and scenario analysis** The Bank partnered with the International Finance Corporation (IFC) to conduct sectoral studies and scenario analyses to assess climate risks and opportunities across its portfolio. **Green financial products** Absa disbursed Shs 4 billion in climate finance in 2024, including a USD 650,000 green loan for Kenya's first green-certified warehouse. **Financed emissions monitoring** The Bank quantified its Scope 3 financed emissions (1,215 tCO_2e) and is working with clients to reduce emissions intensity in high-carbon sectors.	**Sustainability and Climate Report 2024** Page 7,35
Indicators of client engagement **Portfolio greening** 10% of the Bank's portfolio has been greened as of 2024, with a target of 30% by 2035. **High-emission sector exposure** 20.4% of the loan portfolio is in high-emission sectors, with manufacturing accounting for 15.3%. **Client transition support** The Bank is actively supporting clients in these sectors with decarbonisation strategies and tailored financing.	**Sustainability and Climate Report 2024** Page 24,29
Impacts achieved **GHG Emissions Reduction** Achieved a 38% reduction in Scope 2 emissions compared to the 2019 baseline. **Tree planting and biodiversity** Over 1.1 million trees planted cumulatively, contributing to carbon sequestration and biodiversity. **Financial inclusion** Shs 47 billion disbursed in sustainable finance, including Shs 25.1 billion through the Timiza platform targeting underserved groups.	**Sustainability and Climate Report 2024** Page 47-48

3.2 Business opportunities

Describe what strategic business opportunities in relation to the increase of positive and the reduction of negative impacts your Bank has identified and/or how you have worked on these in the reporting period. Provide information on existing products and services, information on sustainable products developed in terms of value (USD or local currency) and/or as a % of your portfolio, and which SDGs or impact areas you are striving to make a positive impact on (e.g. green mortgages – climate, social bonds – financial inclusion, etc.).

Response	Links and references
Absa Bank Kenya has identified several strategic opportunities to support sustainable development and mitigate environmental and social risks. These include: • Greening the Loan Portfolio: Targeting 10% of the portfolio to be green by 2025 and 30% by 2035 • Sectoral Focus: Prioritising sectors such as renewable energy, energy efficiency, green buildings, and climate-smart agriculture • Inclusive Finance: Expanding access to finance for underserved groups including women, youth, MSMEs, and persons with disabilities. **Impacts and outcomes** • GHG Emissions Reduction: 38% reduction in Scope 2 emissions compared to 2019 baseline • Tree Planting: Over 1.1 million trees planted cumulatively • Financial Inclusion: Over 1 million people supported through access to finance; 50,000+ households reached through personal lending • Supplier Diversity: 18% of suppliers are women, youth, or persons with disabilities. **SDGs and Impact Areas Targeted** • SDG 1 (No Poverty) – through inclusive lending to low-income households • SDG 5 (Gender Equality) – via Women in Business and supplier diversity programmes • SDG 7 (Affordable and Clean Energy) – through renewable energy financing • SDG 8 (Decent Work and Economic Growth) – by supporting MSMEs and youth employment • SDG 9 (Industry, Innovation and Infrastructure) – via green infrastructure loans • SDG 10 (Reduced Inequalities) – through financial inclusion • SDG 11 (Sustainable Cities and Communities) – via green building finance • SDG 13 (Climate Action) – through emissions reduction and climate-smart agriculture.	**Sustainability and Climate Report 2024** Page 35-59

Principle 4: Stakeholders

We will proactively and responsibly consult, engage and partner with relevant stakeholders to achieve society's goals.

4.1 Stakeholder identification and consultation

Does your Bank have a process to identify and regularly consult, engage, collaborate and partner with stakeholders (or stakeholder groups[12]) you have identified as relevant in relation to the impact analysis and target setting process?

☒ **Yes** ☐ In progress ☐ No

Please describe which stakeholders (or groups/types of stakeholders) you have identified, consulted, engaged, collaborated or partnered with for the purpose of implementing the Principles and improving your Bank's impacts. This should include a high-level overview of how your Bank has identified relevant stakeholders, what issues were addressed/results achieved and how they fed into the action planning process.

Response	Links and references
At Absa Bank Kenya, we recognise that our success is deeply intertwined with the people and organisations we serve and collaborate with. Our stakeholders—ranging from customers and employees to investors, suppliers, regulators, government bodies, and non-governmental organisations—are central to shaping our sustainability journey. Throughout 2024, we maintained open and meaningful dialogue with these groups. These interactions have not only helped us better understand their evolving needs and expectations but have also provided valuable insights that have guided the refinement of our sustainability strategy. By listening actively and responding thoughtfully, we've been able to align our operations and services more closely with what matters most to them. We firmly believe that the strength of these relationships is a key driver of our ability to deliver long-term value. That's why we embed stakeholder perspectives into our decision-making processes and ensure that their voices influence how we design and deliver our products and services. For a more detailed account of the specific issues raised by our stakeholders in 2024 and how we responded, we encourage you to explore the full Sustainability and Climate Report, 2024.	**Sustainability and Climate Report 2024** Page 19-20

[12] Such as regulators, investors, governments, suppliers, customers and clients, academia, civil society institutions, communities, representatives of indigenous population and non-profit organizations

Principle 5: Governance and culture

We will implement our commitment to these Principles through effective governance and a culture of responsible banking

5.1 Governance Structures for Implementation of the Principles

Does your Bank have a governance system in place that incorporates the PRB?

☒ **Yes** ☐ In progress ☐ No

Please describe the relevant governance structures, policies and procedures your Bank has in place/is planning to put in place to manage significant positive and negative (potential) impacts and support the effective implementation of the Principles. This includes information about:

- which committee has responsibility over the sustainability strategy as well as targets approval and monitoring (including information about the highest level of governance the PRB is subjected to),
- details about the chair of the committee and the process and frequency for the board having oversight of PRB implementation (including remedial action in the event of targets or milestones not being achieved or unexpected negative impacts being detected), as well as remuneration practices linked to sustainability targets.

Response	Links and references
Governance structures At Absa Bank Kenya, the governance of sustainability and climate-related matters is firmly anchored at the highest level of the organisation. The Board of Directors holds ultimate responsibility for setting the Bank's strategic direction, including its sustainability agenda. This includes approving targets, overseeing risk management, and ensuring compliance with regulatory expectations such as those from the Central Bank of Kenya (CBK) and international frameworks like the ISSB and PRB. The Board convenes quarterly under a dedicated "Sustainability Agenda" to review progress, assess risks and opportunities, and guide strategic decisions. These sessions are informed by reports from the Bank's Sustainability Team and Steering Committee, ensuring that the Board remains well-informed and responsive to emerging sustainability issues. **Strategy steering committee** Provides strategic direction and approves the Bank's sustainability and climate strategy. It ensures that ESG considerations are embedded in the Bank's overall strategy and that sustainability disclosures are aligned with best practices. **Key performance indicators** At Absa, key performance indicators (KPIs), encompass several metrics. Among them is ESG which has a 55 weighting that influences overall country score and trickles down to CEO's performance and to all employees. While this is from a Group level perspective, we look forward to integrating this at subsidiary level.	**Sustainability and Climate Report 2024** Page 22-25

5.2 Promoting a culture of responsible banking

Describe the initiatives and measures of your Bank to foster a culture of responsible banking among its employees (e.g., capacity building, e-learning, sustainability training for client-facing roles, inclusion in remuneration structures and performance management and leadership communication, amongst others).

Response	Links and references
Training and development spend in 2024 - Shs 95 million We ensure that all employees undergo annual mandatory compliance training courses covering critical areas such as combating financial crime, anti-bribery, anti-corruption, anti-money laundering, sanctions modules, ESG and Sustainability, climate finance and Enterprise Social Management System (ESMS). These training courses equip our employees to handle situations with real or perceived conflicts of interest, respond appropriately to unethical behaviour or suspected financial crimes and stay abreast of the evolving sustainability landscape. In 2024, a notable 98.8% of our employees successfully completed anti-bribery and anti-corruption awareness training, underlining our collective commitment to financial integrity and ethical conduct. We also provide targeted training for senior management and Board members, reinforcing the top-down commitment to our anti-bribery and anti-corruption framework. • **Board and executive training:** Members of the Board and senior leadership have undergone refresher training on ESG and sustainability, ensuring that governance-level decisions are informed by up-to-date knowledge. • **Staff development:** Employees across departments have received training on climate finance, the Environmental and Social Management System (ESMS), and the implementation of sustainability policies. This includes both in-person and digital learning formats. • **Sustainability champions:** The Bank has designated internal champions to promote sustainability awareness and practices within their respective teams. **Tools and systems to support responsible practices** Automated ESMS and Risk Tools: The Bank uses an automated Environmental and Social Management System and a risk assessment tool (ESRA) to ensure that sustainability risks are considered in lending and investment decisions. **Leadership** • **Strategic oversight:** The Board and its committees—particularly the Strategy and Audit and Risk Committees—regularly review sustainability progress and ensure alignment with the Bank's values and regulatory expectations. • **CEO and CMC involvement:** The Country Management Committee, led by the CEO, is actively involved in driving the sustainability agenda, ensuring that it is embedded in day-to-day operations	**Sustainability and Climate Report 2024** Page 50-55

5.3 Policies and due diligence processes

Does your Bank have policies in place that address environmental and social risks within your portfolio?[13] Please describe. Please describe what due diligence processes your Bank has installed to identify and manage environmental and social risks associated with your portfolio. This can include aspects such as identification of significant/salient risks, environmental and social risks mitigation and definition of action plans, monitoring and reporting on risks and any existing grievance mechanism, as well as the governance structures you have in place to oversee these risks.

Response	Links and references
Absa has embedded environmental and social risk management into its credit and investment processes through a structured and automated system: **Environmental and Social Management System (ESMS):** This system screens all transactions above a defined threshold (USD 5 million) for environmental and social risks. It ensures that high-risk activities are flagged and assessed before approval. **Environmental and Social Risk Assessment (ESRA) Tool:** Integrated within the ESMS, this tool categorises transactions by risk level (e.g., high, medium) and supports decision-making by identifying potential impacts and mitigation measures. **Climate risk scenario analysis:** The Bank conducts scenario planning and stress testing to assess the vulnerability of its assets and clients to climate-related risks. This includes geo-referencing collaterals to evaluate exposure to physical risks such as flooding or drought . **Monitoring and reporting:** The Bank tracks environmental and social risks through regular internal reporting and regulatory submissions. It also publishes an annual Sustainability and Climate Report to maintain transparency with stakeholders.	**Sustainability and Climate Report 2024** Page 41

Self-assessment summary:

Does the CEO or other C-suite officers have regular oversight over the implementation of the Principles through the Bank's governance system?

☒ **Yes** ☐ No

Does the governance system entail structures to oversee PRB implementation (e.g. incl. impact analysis and target setting, actions to achieve these targets and processes of remedial action in the event targets/milestones are not achieved or unexpected neg. impacts are detected)?

☒ **Yes** ☐ No

Does your Bank have measures in place to promote a culture of sustainability among employees (as described in 5.2)?

☒ **Yes** ☐ In progress ☐ No

[13] Applicable examples of types of policies are: exclusion policies for certain sectors/activities; zero-deforestation policies; zero-tolerance policies; gender-related policies; social due diligence policies; stakeholder engagement policies; whistle-blower policies etc., or any applicable national guidelines related to social risks.

Principle 6: Transparency and accountability

We will periodically review our individual and collective implementation of these Principles and be transparent about and accountable for our positive and negative impacts and our contribution to society's goals.

6.1 Assurance

Has this publicly disclosed information on your PRB commitments been assured by an independent assurer?

☐ Yes ☐ Partially ☒ **No**

If applicable, please include the link or description of the assurance statement.

Response	Links and references
The Bank looks forward to carrying out overall assurance of its reports in future disclosures.	**Sustainability and Climate Report 2024** Page 23

6.2 Reporting on other frameworks

Does your Bank disclose sustainability information in any of the listed below standards and frameworks?

☒ **GRI**
☒ SASB
☐ CDP
☒ **IFRS Sustainability Disclosure Standards (to be published)**
☒ **TCFD**
☒ **Other: .... SDGs and TNFD**

Response	Links and references
Yes, Absa Bank Kenya discloses sustainability information in accordance with the Global Reporting Initiative (GRI) standards and follows the reporting guidelines of the Task Force on Climate-related Financial Disclosures (TCFD) for disclosing climate-related risks and opportunities. In 2024, we partially adopted the IFRS S1, S2 standards to disclose sustainability and climate-related information. • For GRI: it covers specific areas or indicators e.g., economic performance, environmental impacts, social impacts. • For IFRS S1, S2, Absa Bank integrates climate-related risks and opportunities into its Governance, Strategy, Risk management and metrics and targets which is a built up of the TCFD recommendations.	**Sustainability and Climate Report 2024** Entire report

[14] For example outlining plans for increasing the scope by including areas that have not yet been covered, or planned steps in terms of portfolio composition, context and performance measurement
[15] For example outlining plans for baseline measurement, developing targets for (more) impact areas, setting interim targets, developing action plans etc.

6.3 Outlook

What are the next steps your Bank will undertake in the next 12 month-reporting period (particularly on impact analysis[14], target setting[15] and governance structure for implementing the PRB)? Please describe briefly.

Response	Links and references
In 2024, the Bank made great strides in driving the sustainability agenda and creating a positive impact. To enhance these achievements, we aim to review our 13 sustainability commitments in 2025. With the launch of Absa Kenya Foundation in 2024, we aim to enhance our corporate social investment in 2025 and beyond to drive even greater impact. Through the Foundation, we aim to train one million youth by 2030 and create a greater impact.	**Sustainability and Climate Report 2024** Page 7-44

6.4 Challenges

Here is a short section to find out about challenges your Bank is possibly facing regarding the implementation of the Principles for Responsible Banking. Your feedback will be helpful to contextualise the collective progress of PRB signatory banks.

What challenges have you prioritised to address when implementing the Principles for Responsible Banking? Please choose what you consider the top three challenges your Bank has prioritised to address in the last 12 months

If desired, you can elaborate on challenges and how you are tackling these:

- ☐ Embedding PRB oversight into governance
- ☐ Gaining or maintaining momentum in the Bank
- ☐ Getting started: where to start and what to focus on in the beginning
- ☐ Conducting an impact analysis
- ☐ Assessing negative environmental and social impacts
- ☒ **Choosing the right performance measurement methodology/ies**
- ☐ Setting targets
- ☐ Other:
- ☐ Customer engagement
- ☐ Stakeholder engagement
- ☐ Data availability
- ☒ **Data quality**
- ☐ Access to resources
- ☐ Reporting
- ☒ **Assurance**
- ☐ Prioritising actions internally

If desired, you can elaborate on challenges and how you are tackling these:

www.absabank.co.ke

Contact information

Registered office
Absa Bank Headquarters Waiyaki Way
PO Box 30120 – 00100 Nairobi

Absa Bank of Kenya is regulated by the Central Bank of Kenya

Your story matters